

Leases and Landlord Tenant Relations in Michigan

STUDY SHEET

Residential Leases

Lease Definitions

Leasehold estate : Relationship allowing tenant to live on property

Lease: Contract allowing tenant to occupy (not own) property

Lessor = landlord

Lessee = tenant

Tenancy at sufferance: Tenant stays after lease terminates

Estate at will: Lease without an end date

Periodic estate : Lease auto-renews at end

Residential Lease Provisions

- Capacity to contract
- Demising clause
- Description of the premises
- A clear statement of term
- Specification of the rent and how it is to be paid
- The inclusion of use provisions
- The lease must in writing (if more than one year)
- The lease must be signed by both parties

Primary Lease Categories

Gross: All expenses covered by rent

Net: Tenant pays rent plus some of the property expenses separately

Lease Variations

- Graduated
- Escalated
- Reappraisal
- Index
- Fixed
- Percentage
- Ground
- Oil and gas

Michigan Landlord-Tenant Relationship Act

The act covers:

- Obligations and rights of landlords and tenants
- Security deposits
- Lease termination

Lease Termination Terms

* Expiration

* Mutual agreement

* Abandonment

* Eviction

* Actual eviction

* Constructive eviction